Eurolux Universal Bank AG

Sustainability-related Financial Disclosures

Prepared with reference to IFRS S1 and IFRS S2 disclosure principles

Reporting year: 2024

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Executive overview

This designed PDF presents Eurolux Universal Bank AG's sustainability-related financial disclosures for 2024. It is structured around the IFRS Sustainability Disclosure Standards architecture: Governance, Strategy, Risk Management, and Metrics and Targets, with a General Requirements section describing the reporting basis and evidence boundaries.

Total assets

850,000 million

EUR

Total loans

31,150.64 million

EUR

High-carbon exposure

11,059.49 million (35.5%)

loan portfolio

Fossil-fuel exposure

6,899.59 million (22.15%)

loan portfolio

Green loans

3,335.75 million (10.71%)

loan portfolio

Figures and narrative boundaries are based on the approved report content. Where source evidence does not describe methodologies, formal policies, assurance scope or reporting boundaries in detail, the PDF preserves those limitations rather than adding unsupported claims.

General Requirements

Sustainability-related financial disclosure section prepared from approved public report content.

General Requirements

Understanding the Bank's approach towards implementing IFRS S1 and IFRS S2 requirements

This General Requirements chapter sets out how the Bank approaches sustainability-related and climate-related financial disclosures in a manner that is structured around the core concepts of IFRS S1 and IFRS S2. It provides the overarching basis for the more detailed sections on Governance, Strategy, Risk management, and Metrics and targets that follow in this report and is intended to appear before those core sections in the final report.

The report is organised along IFRS S1- and IFRS S2-style disclosure areas, with a focus on governance, strategy, risk management, and metrics and targets for sustainability-related and climate-related risks and opportunities. The purpose is to provide decision-useful information about those risks and opportunities that could reasonably be expected to affect the Bank's business model, strategy, cash flows, access to finance and cost of capital over the short, medium and long term.

The disclosures draw on the available evidence for the Bank, including governance records, a climate risk register, climate scenario analysis, value chain mapping and climate-related metrics relevant to a commercial bank. The Bank operates within a European regulatory context in which the Corporate Sustainability Reporting Directive is the evidenced regulatory regime. However, this report does not assert compliance with that directive, as the available evidence does not document such an assessment.

This report is intended as an alignment with the principles, structure and core content areas of IFRS S1 and IFRS S2 rather than a formal statement of full legal compliance with those standards or with any specific jurisdictional implementation. Parts of the report rely on modelled estimates, internally developed analytical outputs and other available source data, particularly for climate scenario analysis and financed emissions. In addition, some narrative descriptions, classifications and quantitative indicators have been developed using structured estimation techniques where underlying source data are incomplete. Where this is the case, the relevant sections explain the nature of the estimates and the associated boundaries.

Fair presentation

The sustainability-related financial information in this report has been prepared using the evidence currently available for the Bank and is intended to provide a transparent and balanced view of material sustainability-related and climate-related risks and opportunities. The country recorded in the available evidence is Germany, and the reporting currency used throughout the report is the euro, consistent with the Bank-level information available.

Within these constraints, the Bank has sought to:

- focus disclosures on sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect its prospects;
- use data and assumptions that are coherent with the Bank's broader understanding of its risk profile and portfolio, to the extent this can be inferred from the available evidence; and
- accompany quantitative indicators with narrative explanations where this is necessary to understand the implications for the Bank's business model and portfolio.

The available evidence does not specify the degree of alignment between the sustainability reporting boundary and the boundary used in the Bank's general purpose financial statements, nor does it provide detailed accounting policy linkages or a documented process demonstrating consistency with financial planning assumptions. As a result, this report does not assert full consistency of organisational boundaries, accounting policies, estimation techniques or planning assumptions with those used in the financial statements, and users should be aware of this limitation when comparing information across reports.

Governance disclosures are based on the governance evidence currently available and are subject to the evidence boundaries described in the Governance section. Assurance evidence is available only in relation to Scope 1 and Scope

2 greenhouse gas emissions; there is no evidence of external assurance over the full set of sustainability-related disclosures or over financed emissions. The report therefore does not claim that all information is complete, neutral or free from material misstatement and acknowledges that methodologies, data coverage and internal controls will continue to evolve. In addition, some information in this report has been developed using structured estimation and modelling techniques to fill gaps in the underlying records; such information should be interpreted in that context and not as a substitute for primary data.

Connected information

This report is designed to enable users to understand the connections between different elements of the Bank's sustainability-related and climate-related reporting, consistent with the IFRS S1 and IFRS S2 emphasis on connected information:

- Governance: The Governance section describes the roles of the Board and management in overseeing sustainability-related and climate-related matters, including the use of a climate risk register, the integration of climate topics into Board and committee agendas, and the linkage of selected executive remuneration components to climate- and sustainability-related performance indicators. Trend metrics such as the frequency of ESG-related committee meetings, the proportion of Board members with climate expertise, the share of climate-linked remuneration and the frequency with which climate appears on the Board agenda provide insight into how governance is evolving over time.
- Strategy: The Strategy section uses climate scenario analysis, portfolio exposure mapping and value chain information to assess how climate-related risks and opportunities may affect the Bank's business model, lending portfolio and strategic positioning over different time horizons. It draws on the same climate risk register and value chain mapping that inform governance oversight and risk management processes, including exposures to sectors with elevated transition or physical risk.
- Risk management: The Risk management section explains how climate-related risks are identified, assessed and monitored within the Bank's broader risk management framework, including the use of a climate risk register and scenario outputs. It links these processes to specific value chain nodes, such as own operations and key corporate borrower sectors (for example, mining, refined petroleum, air transport and selected manufacturing sectors), where transition and physical risks are more pronounced.
- Metrics and targets: The Metrics and targets section provides quantitative indicators, including financed emissions, portfolio exposures to higher-risk sectors, green finance metrics, climate-related capital and operating expenditure, and climate-related targets. These metrics are intended to reflect the outcomes of the Bank's governance, strategy and risk management processes and to support monitoring of progress over time.

By structuring the report in this way, the Bank aims to help users understand how governance oversight, strategic planning, risk management practices and quantitative metrics are interconnected and how they collectively address sustainability-related and climate-related risks and opportunities.

Comparative information

Where the available evidence allows, the report incorporates comparative information to support an understanding of trends and changes over time. In particular, governance trend metrics are available for:

- the number of ESG- or sustainability-related committee meetings;
- the percentage of Board members with climate-related expertise;
- the percentage of CEO and executive remuneration that is linked to climate- or ESG-related performance;
- the percentage of Board meetings at which climate-related topics are on the agenda; and
- the frequency of full Board meetings.

These trend indicators are used in the Governance and Metrics and targets sections to illustrate the evolution of governance practices and incentive structures.

For portfolio exposure metrics, financed emissions and other climate-related quantitative indicators, the available evidence does not include prior-period data. As a result, comparative information for these metrics is not available, and the report focuses on the most recent data point supported by the evidence. Where methodologies or data sources may change in future reporting cycles, this may affect comparability over time; any such changes will be described in future reports when the relevant evidence is available.

The specific reporting period (including financial year start and end dates) is not specified in the available evidence. Accordingly, this report does not state a defined financial year or reporting cut-off date. All sustainability-related and climate-related information should therefore be understood as relating to the most recent period for which evidence has been compiled for the Bank, without asserting a precise year-end.

Timing and location of disclosure

This General Requirements chapter forms part of a dedicated sustainability-related and climate-related financial disclosure report for the Bank, structured in alignment with IFRS S1 and IFRS S2. The report is intended to be capable of being read alongside the Bank's general purpose financial statements and any other sustainability publications that may be issued, but the available evidence does not document how such documents are presented together in practice.

The available evidence does not specify the publication date, whether the report is integrated with the annual report, or any external filing location, and no such claims are made in this section. The evidence also does not confirm that the sustainability-related financial disclosures are reported at the same time as, or for the same reporting period as, the related financial statements; therefore, this report does not assert such synchronisation or period alignment.

Reporting entity, business model and value chain

The reporting entity covered by this report is the Bank. The country recorded in the available evidence is Germany. The presentation currency used for all monetary amounts in this report is the euro, consistent with the Bank-level information available. Total assets amount to approximately 850 billion euros and total loans amount to approximately 31.2 billion euros, based on the available data.

The evidence set does not specify the Bank's detailed business model (for example, the relative importance of retail, corporate, investment banking or other activities), nor does it describe the precise consolidation scope or list of subsidiaries. It is therefore not possible, based on the available information, to confirm whether the sustainability reporting boundary is fully aligned with the boundary used in the Bank's financial statements. Where portfolio exposures and value chain nodes are discussed, they should be understood as relating to the parts of the Bank's activities for which evidence is available, rather than a complete representation of all activities.

The value chain mapping available for the Bank covers key elements of own operations, upstream suppliers and downstream financing activities:

- Own operations:
- Own banking operations - buildings: Operational sites and related activities generate Scope 1 and Scope 2 emissions and are exposed to physical disruption and chronic physical climate risk.
- Corporate fleet and business travel: These activities contribute to Scope 1, Scope 2 and selected Scope 3 emissions and are exposed to transition-related market and policy changes.
- Upstream suppliers:
- Information technology infrastructure and cloud providers, office space landlords and professional services suppliers are identified as relevant upstream partners. For these nodes, the available evidence highlights environmental themes but does not indicate material climate-related risk exposure for the Bank beyond general supply chain considerations. The financial exposures associated with these upstream suppliers are approximately 224 million euros for information technology infrastructure and cloud providers, 445 million euros for office space landlords and 121 million euros for professional services suppliers.
- Downstream activities and financing counterparties:

- Corporate borrowers in sectors such as manufacture of coke and refined petroleum, mining of coal and lignite, mining of metal ores, other mining and quarrying and air transport are identified as carrying elevated transition risk, particularly from carbon pricing and demand shifts.
- Corporate borrowers in sectors such as manufacture of motor vehicles, manufacture of electrical equipment, manufacture of food products, civil engineering and education are identified as being subject to moderate physical and transition risk.
- These financing counterparties represent significant financial exposures, with individual sector exposures ranging from approximately 1.5 billion euros to approximately 3.9 billion euros based on the available evidence.

This value chain perspective underpins the identification of material climate-related risks and opportunities in the Strategy, Risk management and Metrics and targets sections. It also informs the Bank's focus on financed emissions and sectoral portfolio metrics. However, the evidence does not provide a complete mapping of all sectors or counterparties in the Bank's portfolio, and users should therefore interpret the value chain description and sector exposures as derived from the available value chain mapping rather than as a comprehensive portfolio breakdown.

Sources of guidance

The primary framing for this report is provided by IFRS S1 on general requirements for sustainability-related financial disclosures and IFRS S2 on climate-related disclosures. The structure of the report, the emphasis on governance, strategy, risk management, and metrics and targets, and the focus on decision-useful information about sustainability-related and climate-related risks and opportunities are aligned with these standards.

The Bank operates in a regulatory environment in which the Corporate Sustainability Reporting Directive is the evidenced regulatory regime. The available evidence does not, however, document how the requirements of that directive have been applied in preparing this report, and no claim is made that the report complies with it.

The available evidence does not document the application of any other sustainability disclosure standards or general reporting frameworks in preparing this report. In particular, the evidence does not indicate whether sector-specific disclosure topics or metrics from other frameworks were considered when identifying sustainability-related risks, opportunities, metrics or targets. Therefore, this report does not claim compliance with IFRS S1 requirements that refer to consideration of such additional disclosure topics and associated metrics.

While other climate-related initiatives or target-setting frameworks may be referenced in the Bank's internal processes, there is no documented indication in the evidence that they have been used as overarching preparation or disclosure frameworks for this report.

Statement of compliance

This report has been prepared with the intention of aligning the Bank's sustainability-related and climate-related financial disclosures with the principles, structure and core content areas of IFRS S1 and IFRS S2. It aims to:

- identify sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's prospects;
- provide information that is comparable, verifiable, timely and understandable to users of general purpose financial reports, within the limits of the available evidence; and
- explain how these risks and opportunities may influence the Bank's cash flows, access to finance and cost of capital over different time horizons.

Based on the available evidence, there is no explicit statement that the Bank has fully adopted IFRS S1 and IFRS S2 as a matter of formal compliance, nor is there documentation of jurisdictional endorsement or statutory adoption of these standards for the Bank. Accordingly, this report does not assert full compliance with IFRS S1 and IFRS S2. Instead, it should be understood as an IFRS S1/S2-aligned sustainability-related financial disclosure report that applies the concepts and disclosure areas of those standards to the extent supported by the evidence currently available.

Future reporting cycles may further enhance the degree of alignment with IFRS S1 and IFRS S2 as methodologies, data coverage, governance processes and regulatory expectations continue to develop.

Materiality assessment

The selection of sustainability-related and climate-related topics and disclosures in this report is based on a risk- and portfolio-driven screening approach using the available evidence. The Bank has used:

- a climate risk register and associated risk descriptions;
- portfolio exposure mapping by sector and value chain node, including identification of sectors with elevated transition or physical risk; and
- climate scenario analysis outputs and related analytical work,

to identify those sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect its prospects.

In the absence of a documented IFRS S1 materiality process artefact, the report does not describe a formal, standardised materiality methodology or stakeholder engagement process. Instead, materiality has been inferred from:

- the scale of financial exposures to higher-risk sectors (for example, mining, refined petroleum, air transport and selected manufacturing sectors);
- the significance of own operations in terms of emissions and exposure to physical disruption; and
- the prominence of specific risks and opportunities in the climate risk register, governance records and scenario analysis.

Topics that are treated as material in this report therefore include, among others: transition risks associated with carbon-intensive sectors in the lending portfolio; physical chronic risk and operational disruption affecting own operations; and the Bank's financed emissions and green finance activities. These topics are reflected across the Strategy, Risk management and Metrics and targets sections.

Given the evolving nature of climate science, regulation and market expectations, the Bank recognises that its understanding of material sustainability-related and climate-related issues will continue to develop. As additional data, methodologies and internal processes become available, the Bank expects that future reports will refine and, where necessary, expand the scope and depth of disclosures to reflect changes in its risk profile, portfolio composition and strategic priorities.

Governance

Sustainability-related financial disclosure section prepared from approved public report content.

Governance

Overview

Based on available evidence, climate-related governance at Eurolux Universal Bank AG is reflected in Board oversight, ESG & Sustainability Committee activity, executive management responsibility, semi-annual Board reporting, ERM integration indicators, climate checks for major transactions and a climate risk register. The governance structure includes the Board of Directors, an ESG & Sustainability Committee at Board level, and a Climate Risk Management Committee at management level, supported by climate-related skills development and remuneration metrics linked to ESG and climate performance.

Climate-related topics were on the Board agenda in 72.6% of Board meetings in 2024, with eight full Board meetings held during the year. Climate risk reporting to the Board occurs on a semi-annual basis. At management level, the Climate Risk Management Committee uses a climate risk register that, in 2024, recorded eight climate-related risks, with ERM integration indicators and climate checks for major transactions. Climate-related governance is further reflected in the proportion of Board members with climate expertise, the operation of a skills development programme and the inclusion of ESG- and climate-linked components in executive remuneration.

The role of the Board of Directors

The Board of Directors of Eurolux Universal Bank AG comprises 10 members, of whom 68.5% are independent. In 2024, the Board held eight full meetings, compared with seven in 2023 and four in 2022. Climate-related topics appeared on the Board agenda in 72.6% of meetings in 2024 (73.1% in 2023 and 69.8% in 2022), indicating regular Board-level consideration of climate-related risks and opportunities.

Climate-related oversight by the Board is evidenced through: (i) the frequency with which climate topics appear on the Board agenda; (ii) semi-annual climate risk reporting from management; and (iii) documented climate-related decisions in 2024. Semi-annual reporting provides the Board with updates on climate-related risk exposures and management actions, including information derived from the climate risk register and ERM integration indicators. Available documentation indicates that the Board receives information on climate-related risks and opportunities at least twice a year in line with this reporting cadence.

Board oversight of climate-related risks and opportunities is further reflected in its interaction with Board committees. The ESG & Sustainability Committee reports to the Board on climate-related matters considered at committee level, including risk, strategy and remuneration-related topics. Through these reporting lines and documented 2024 Board and committee decisions, the Board takes climate-related risks and opportunities into account when overseeing the bank's overall strategy and risk management processes.

Available documentation evidences Board activity, meeting frequency and climate-related agenda coverage, but does not include a separate climate-specific Board charter or formal mandate describing climate-related responsibilities.

Board committees and climate-related oversight

The Board is supported by an ESG & Sustainability Committee that considers climate-related matters in more detail. Source data indicates that this committee met seven times in 2024, compared with six meetings in 2023 and five in 2022, showing an increasing frequency of committee-level engagement with ESG and climate topics over the three-year period.

The ESG & Sustainability Committee provides a forum for more detailed review of climate-related risks, opportunities and performance indicators before escalation to the full Board where appropriate. Available documentation indicates that the committee considered climate-related topics in 2024 and that climate-related decisions were taken at committee level and, where relevant, subsequently at Board level. The committee reports its discussions and recommendations to the Board, thereby contributing to Board oversight of climate-related strategy, risk and remuneration matters.

Documentation reviewed evidences committee activity and meeting frequency but does not include the committee charter or terms of reference. As a result, this report describes the committee's climate-related role based on observed activities and reporting lines rather than on a formal climate-specific mandate.

Management responsibility for climate-related risks and opportunities

Management responsibility for climate-related risks and opportunities in 2024 is exercised through the Climate Risk Management Committee. This committee operates at executive management level and coordinates climate-related risk identification, assessment and reporting across the bank. Climate risk reporting from management to the Board is on a semi-annual basis, providing the Board with updates on key climate-related risk exposures, trends and management actions.

Source data indicates that management uses several mechanisms to monitor and manage climate-related risks and opportunities:

- Climate risk register: Eurolux Universal Bank AG uses a climate risk register that, in 2024, recorded eight climate-related risks. These risks are classified across physical acute, physical chronic, transition market, transition policy, transition reputational and transition technology categories. Risks are assigned ratings of high or medium and are associated with time horizons such as short term (0-2 years), medium term (2-5 years) and long term (5 years and beyond).
- Monitoring frequency: The climate risk register records monitoring frequencies, with risks monitored on a quarterly or semi-annual basis. Several high-rated risks are monitored quarterly, while some medium-rated risks are monitored semi-annually.
- Scenario analysis links: For selected risks, the register includes links to climate-related scenario analysis, indicating that these risks have been considered in scenario-based assessments. Documentation reviewed does not provide further detail on the underlying scenarios within this governance section.
- Mitigation actions: The register records mitigation actions at register level, including climate scenario stress testing integrated into the Internal Capital Adequacy Assessment Process, collateral revaluation and flood mapping overlays, engagement and transition-plan covenants with borrowers, green retrofit financing incentives, portfolio decarbonisation glide-path monitoring, and sector exposure limits with enhanced due diligence.
- ERM integration indicators: Source data indicates that six of the eight climate-related risks in the register are integrated into the bank's enterprise risk management framework. This integration is reflected in ERM indicators recorded for those risks.

The climate risk register includes specific examples of material climate-related risks, such as transition risks related to the shift to electric vehicles in auto lending, stranded asset risk in fossil fuel sector exposures, transition policy risk from carbon pricing on industrial loans, physical flood risk in the mortgage portfolio and reputational risk linked to scrutiny of financed emissions. Selected risks in this subset include quantified potential financial impacts, associated monitoring frequencies and, in some cases, links to climate-related scenario analysis and mitigation actions.

In addition to the risk register, source data indicates that climate checks are applied to major transactions at management level. This shows that climate-related considerations are taken into account in the assessment of significant transactions by management, although available documentation does not evidence a formal mandatory policy or specific escalation thresholds for such checks.

Documentation reviewed indicates that management governance controls for climate-related risks and opportunities are reflected in the climate risk register, ERM integration indicators, semi-annual reporting to the Board and climate checks for major transactions. Documentation reviewed does not evidence formal escalation thresholds or trigger-based escalation mechanics for climate-related risks.

Source data for comparative years records different management committee names (Group Sustainability Committee in 2022 and ESG Executive Committee in 2023). The documentation does not evidence whether these committees were predecessors of, or were formally renamed as, the Climate Risk Management Committee, and this report therefore presents the 2024 committee name without inferring continuity.

Skills, competencies and remuneration

Board-level climate-related skills and competencies are evidenced by the proportion of Board members with climate expertise and by the existence of a skills development programme. Source data indicates that the percentage of Board members with climate expertise increased from 33.5% in 2022 to 35.5% in 2023 and 37.5% in 2024. A skills development programme is in place, indicating ongoing activity to develop climate-related knowledge among Board members and senior management. Available documentation does not describe a formal process for assessing the adequacy of Board climate skills against defined criteria; this report therefore relies on the observed expertise percentage and the existence of the development programme as indicators of skills and competencies rather than as evidence of effectiveness.

Remuneration structures incorporate ESG and climate-related performance metrics. The Chief Executive Officer's compensation includes an ESG-linked component, which increased from 6.3% of total compensation in 2022 to 7.8% in 2023 and 9.3% in 2024. For the wider executive population, the proportion of remuneration linked to climate-related metrics was 8.7% in 2022, 15.3% in 2023 and 15.1% in 2024. These metrics show that climate-related performance is taken into account in executive remuneration. Available documentation indicates that climate-related remuneration metrics are considered in Board and committee discussions, including in 2024, but does not provide detailed criteria, weightings or an assessment of the effectiveness of these incentives within this governance section.

Governance decisions, controls and evidence boundaries

In 2024, the Board of Directors and the ESG & Sustainability Committee took several documented climate-related decisions:

- On 24 January 2024, the full Board approved the 2024 ESG report for publication, following discussions that included carbon credit approval and transition plan review topics.
- On 15 April 2024, the ESG & Sustainability Committee approved a climate scenario analysis methodology. This topic was subsequently considered at further ESG & Sustainability Committee meetings on 10 June, 17 July and 29 August 2024 and at a full Board meeting in 2024, reflecting Board-level engagement with climate scenario analysis.
- On 15 April, 20 May and 19 July 2024, the ESG & Sustainability Committee considered climate-related aspects of executive remuneration, net-zero progress, physical risk updates, scenario analysis and transition plan review. On 26 November 2024, the full Board approved a carbon credit procurement budget, following prior consideration of this topic by the ESG & Sustainability Committee.
- On 7 October 2024, the full Board endorsed an updated transition plan, following earlier committee-level review.
- On 1 November 2024, the full Board endorsed a revision to an interim net-zero target, following consideration of net-zero progress at Board and committee level earlier in the year.

These decisions indicate that the Board and its ESG & Sustainability Committee took climate-related risks and opportunities into account in 2024 when overseeing strategy, transition planning, scenario analysis, carbon credit procurement, disclosure and executive remuneration.

Controls and assurance

Governance controls for climate-related risks and opportunities are reflected in:

- the use of a climate risk register that, in 2024, recorded eight climate-related risks, including risk categories, ratings, time horizons, monitoring frequencies, links to climate-related scenario analysis, mitigation actions and ERM integration indicators;
- semi-annual climate risk reporting from the Climate Risk Management Committee to the Board;
- climate checks for major transactions at management level; and
- the inclusion of climate-related metrics in executive remuneration.

External assurance in 2024 was obtained over greenhouse gas emissions. EY provided limited assurance, in accordance with ISAE 3000, over the bank's Scope 1 and Scope 2 emissions. Based on available evidence, financed emissions and other Scope 3 categories, including the bank's 2024 financed emissions of approximately 36 million tonnes of carbon dioxide equivalent, were outside the stated assurance scope.

Evidence boundaries
This governance disclosure is subject to the following evidence boundaries:

- Formal mandates and charters: Available documentation evidences Board and ESG & Sustainability Committee activity, meeting frequency and climate-related decisions, but does not include a separate climate-specific Board charter or ESG & Sustainability Committee terms of reference. As a result, this report describes roles and responsibilities based on observed activities and reporting lines rather than on formal climate-specific mandates.
- Trade-offs: Board decision evidence identifies climate-related decisions on net-zero targets, transition planning, scenario analysis methodology, carbon credit procurement, ESG reporting and executive remuneration. However, the documentation reviewed does not describe quantified or specific Board-level trade-offs, such as explicit balancing of profitability, capital allocation, implementation cost, risk appetite or competing strategic priorities in relation to these decisions.
- Skills adequacy assessment: While the proportion of Board members with climate expertise and the existence of a skills development programme are evidenced, available documentation does not describe a formal process by which the Board determines whether climate-related skills and competencies are sufficient or how gaps are systematically identified and addressed.
- Escalation thresholds: Documentation reviewed does not evidence formal escalation thresholds or trigger-based escalation mechanics for climate-related risks, either within the climate risk register process or in relation to climate checks for major transactions.
- Management committee continuity: Source data records different management committee names for 2022 (Group Sustainability Committee), 2023 (ESG Executive Committee) and 2024 (Climate Risk Management Committee). The documentation does not evidence whether these committees represent a continuous or renamed structure, and no inference of continuity is made in this report.
- Alignment indicators: Source data flags the bank's climate disclosures as aligned with TCFD and IFRS S2. Available documentation does not evidence a separate governance control process specifically designed to verify or assure such alignment. Accordingly, this report notes the alignment indicators as source-data attributes only and does not attribute them to a distinct governance oversight mechanism.

Strategy

Sustainability-related financial disclosure section prepared from approved public report content.

Strategy

Overview

Eurolux Universal Bank AG's climate-related strategy focuses on identifying and managing material physical and transition risks across its lending and investment activities, while selectively pursuing related financing opportunities. The strategy is structured around a value-chain view that covers upstream suppliers, the Bank's own operations and downstream financing counterparties.

Climate considerations are embedded in risk management through a dedicated climate risk register, sectoral exposure metrics for high-carbon and fossil-fuel activities, and the use of climate scenario analysis within the Internal Capital Adequacy Assessment Process (ICAAP) and in assessing Pillar 2 capital buffer consumption. Portfolio steering is informed by financed-emissions metrics, including total financed emissions of about 36 million tonnes of CO2 equivalent and a portfolio carbon intensity of roughly 1,155 tonnes of CO2 equivalent per million euro of exposure. Transition planning is guided by summary targets for own-operations emissions, financed-emissions intensity and a long-term net-zero objective, with targets stated as aligned to external frameworks such as a 1.5°C pathway and the Net-Zero Banking Alliance; the monitoring approach beyond reported progress percentages is not described in the source data. Resource allocation, including climate-related capital and operating expenditure, supports portfolio steering, green product development and operational efficiency initiatives. Scenario analysis based on NGFS v4 pathways provides modelled estimates of potential transition and physical risk losses, stranded assets and revenue at risk, and informs decisions on sector exposures, client engagement and capital buffers.

Sustainability risks and opportunities across the value chain

The 2024 climate risk register identifies eight material climate-related risks, comprising three physical risks and five transition risks, with ratings from medium to high and time horizons classified as short term (0-2 years), medium term (2-5 years) and long term (beyond 5 years). Physical risks include acute hazards such as mortgage book flood exposure and wildfire exposure in southern portfolios, which may affect collateral values and borrower creditworthiness over both short and long horizons. Transition risks span technology, policy, market and reputational drivers, including the shift to electric vehicles in auto lending, carbon pricing on industrial loans, stranded-asset risk in fossil-fuel sectors and scrutiny of financed emissions.

Across the value chain, the most material concentrations arise downstream in financing counterparties. High-carbon sector exposure represents 35.5% of the loan book, or EUR 11,059.49 million, and fossil-fuel exposure accounts for 22.15%, or EUR 6,899.59 million. Material value-chain nodes include lending to the manufacture of coke and refined petroleum (EUR 3,903.65 million), mining of coal and lignite (EUR 3,547.58 million), mining of metal ores (EUR 2,749.58 million) and other mining and quarrying (EUR 2,102.44 million), all characterised by elevated transition policy risk from carbon pricing and demand shifts. Other significant nodes, such as manufacture of motor vehicles and education, are exposed to combinations of chronic physical and transition risks.

Own operations, including banking buildings and the corporate fleet, contribute Scope 1 and 2 emissions and face physical disruption risk, while upstream suppliers are indirectly exposed through their service provision to the Bank. Financed emissions of approximately 35.97 million tonnes of CO2 equivalent and a carbon intensity of about 1,155 tonnes of CO2 equivalent per million euro of exposure are key indicators in assessing transition risk and exposure to reputational scrutiny.

Climate-related opportunities are primarily downstream and product-led. Identified opportunities, with an aggregate estimated revenue impact of EUR 465.0 million, include: expansion of green and sustainability-linked lending aligned with the EU Taxonomy (EUR 180.0 million, medium term, medium confidence); growth in sustainable bond underwriting and distribution fees (EUR 95.0 million, short term, medium confidence); transition advisory and ESG due-diligence services (EUR 42.0 million, medium term, medium confidence); renewable energy project finance for solar, wind and storage (EUR 130.0 million, long term, medium confidence); and operational energy-efficiency measures (EUR 18.0 million, short term, medium confidence). These figures represent estimated potential revenue with stated confidence levels and are not assured outcomes.

Strategic management of climate-related risks and opportunities

The Bank manages climate-related risks and opportunities through portfolio steering, integration into risk processes, client engagement and product development. Risks identified in the climate risk register are linked to specific management actions. Transition technology risk from the shift to electric vehicles in auto lending is addressed through climate scenario stress testing integrated into ICAAP, enabling assessment of potential credit losses under different technology adoption pathways and their implications for capital buffers. Transition policy risk from carbon pricing on industrial loans is managed through sector exposure limits and enhanced due diligence, particularly in high-emitting sectors such as mining and refined petroleum.

Stranded-asset risk associated with fossil-fuel sector exposure is recognised as a high transition market risk over the long term. Management actions include collateral revaluation and the use of mapping overlays to refine risk assessments, as well as portfolio decarbonisation glide-path monitoring in response to reputational risk from financed-emissions scrutiny. In this context, financed-emissions levels of around 36 million tonnes of CO2 equivalent and a carbon intensity of approximately 1,155 tonnes of CO2 equivalent per million euro of exposure are used as key indicators for portfolio steering. Physical risks in the mortgage portfolio, particularly flood-exposed segments, are addressed through borrower engagement and the inclusion of transition-plan covenants in relevant lending, alongside collateral-focused tools; covenants are not evidenced for all physical risk types.

On the opportunity side, the strategy includes the expansion of green and sustainability-linked lending, sustainable bond underwriting, renewable energy project finance and transition advisory services. These activities are positioned to respond to policy and market drivers such as the EU Taxonomy and REPowerEU while supporting clients' transition pathways and diversifying the Bank's revenue base. Summary targets provide directional guidance: an absolute reduction target for Scope 1 and 2 emissions to 2030 under a 1.5°C-aligned framework with reported progress of 40.0% in 2024; an intensity reduction target for financed emissions in the investment and lending portfolio to 2030 under a Net-Zero Banking Alliance framework with 25.0% progress; and a net-zero target across all scopes by 2050 with 13.3% progress. Target information is available only in summary form and does not include baselines, milestones or detailed methodologies, and the underlying transition-plan assumptions and dependencies are not specified in the source data.

Climate-related effects on business model, value chain and decision-making

Climate-related risks and opportunities influence the Bank's business model primarily through its activities as a lender and capital markets intermediary. Concentrations of high-carbon and fossil-fuel exposures in the corporate lending portfolio, particularly in mining, refined petroleum and other energy-intensive sectors, affect strategic decisions on sectoral focus, risk appetite and client selection. Monitoring of high-carbon sector exposure (35.5% of the loan book) and fossil-fuel exposure (22.15%), together with financed emissions of approximately 35.97 million tonnes of CO2 equivalent and a carbon intensity of about 1,155 tonnes of CO2 equivalent per million euro of exposure, informs decisions on portfolio diversification and the pace of reallocation towards lower-carbon sectors and green assets.

The growth of green loans, which amount to EUR 3,335.75 million or 10.71% of the loan book, indicates a gradual shift in product mix towards sustainability-linked and taxonomy-aligned financing. This shift is reflected in credit-origination decision-making, where climate-related factors and sector-specific transition pathways are increasingly incorporated into credit analysis and due diligence, particularly for sectors exposed to carbon pricing and technology disruption. Scenario analysis outputs, including modelled estimates of transition and physical risk losses and stranded assets, are used as inputs into strategic discussions on ICAAP, Pillar 2 capital buffer adequacy and sector exposure limits; broader capital-planning integration beyond these uses is not documented.

Across the value chain, own operations are subject to energy-efficiency initiatives and emissions-reduction targets, influencing decisions on building upgrades and fleet management. Upstream suppliers may be affected by procurement preferences that consider environmental performance. Downstream, client engagement on transition plans and the use of covenants in selected lending agreements influence the Bank's approach to long-term relationship management and risk mitigation. The source data describes these portfolio and value-chain effects but does not provide a separate, detailed business-model impact assessment or quantified analysis of strategic trade-offs between business lines.

Financial effects and resource allocation

Climate-related risks and opportunities have both current and anticipated financial effects for Eurolux Universal Bank AG. At portfolio level, the risk register associates specific modelled financial impacts with key risks: transition technology risk from the shift to electric vehicles in auto lending is associated with a potential impact of EUR 165.2 million; stranded-asset risk in the fossil-fuel sector with EUR 136.5 million; transition policy risk from carbon pricing on industrial loans with EUR 67.5 million; reputational risk from financed-emissions scrutiny with EUR 65.5 million; and physical flood and wildfire risks with EUR 24.8 million and EUR 22.7 million respectively. These figures represent internal estimates of potential financial impact rather than realised losses.

Resource allocation decisions reflect the climate strategy. Climate-related capital expenditure amounts to EUR 476.95 million and climate-related operating expenditure to EUR 219.32 million in the reporting period. These amounts indicate resources directed towards climate-related initiatives such as operational energy efficiency, data and systems for climate risk management, and the development of green and transition finance products. The source data does not provide an activity-level breakdown of these amounts or a detailed mapping to specific income-statement or balance-sheet line items, nor does it specify whether these expenditures are funded solely from internal budgets or also from external sources.

Qualitatively, climate-related risks may affect credit loss provisions, risk-weighted assets and fee income, while climate-related opportunities are associated with an aggregate estimated revenue impact of EUR 465.0 million across short, medium and long-term horizons from green loan growth, sustainable bond underwriting, transition advisory and renewable energy project finance, as well as operational energy-efficiency gains. These opportunity figures are model-based estimates with medium confidence and are not assured revenue.

Climate resilience and scenario analysis

The Bank conducts climate scenario analysis using the NGFS v4 framework, covering orderly, disorderly and hot house world scenario types. Named scenarios include Net Zero 2050, Below 2°C, Divergent Net Zero, Delayed Transition, Nationally Determined Contributions and Current Policies. The analysis is performed over short-term (2025), medium-term (2030) and long-term (2050) horizons.

For orderly scenarios such as Net Zero 2050 and Below 2°C, a top-down sector-pathway approach is applied to all lending book exposures across Germany, France, Italy, the Netherlands and Spain. Carbon price assumptions are mapped from the IEA Net Zero Emissions 2050 trajectory to counterparty economic sectors, and modelled stranded-asset estimates are derived from sector-level fossil-fuel capital-expenditure exposure. Disorderly scenarios, including Divergent Net Zero and Delayed Transition, are used primarily to stress-test technology transition risk in specific sub-portfolios, notably automotive and energy manufacturing, with high renewable-energy shares but divergent sectoral transition speeds and country-specific carbon prices based on national emissions trading schemes and carbon taxes. Hot house scenarios, including Nationally Determined Contributions and Current Policies, assume delayed or insufficient policy action, with carbon pricing ramping up later and higher temperature outcomes; revenue at risk is modelled from sector revenue sensitivity to the carbon-price paths specified in these scenarios.

Key assumptions include carbon prices ranging from EUR 1.2 to EUR 287.1 per tonne of CO2 equivalent across scenarios and time horizons, temperature outcomes at 1.5°C, 1.8°C, 2.5°C and 3.0°C depending on the scenario, and technology readiness levels varying between low, medium and high. Macroeconomic and energy-system assumptions, such as growth trajectories and renewable-energy shares, follow NGFS v4 and associated pathways. The analysis covers the Bank's lending book exposures in the specified jurisdictions and uses internal models to translate macroeconomic and sectoral shocks into modelled credit-risk, revenue and capital impacts.

Modelled financial outputs from the scenario analysis include: a maximum physical risk loss equivalent to 32.0% of capital under the Current Policies hot house scenario in 2050; a maximum transition risk loss equivalent to 23.1% of capital under the Divergent Net Zero disorderly scenario in 2025; a maximum stranded-assets estimate of EUR 33,575.2 million under the Net Zero 2050 orderly scenario in 2050, derived from fossil-fuel sector capital-expenditure exposure; and a maximum revenue at risk of EUR 35,509.1 million under the Nationally Determined Contributions hot house scenario in 2025. These are modelled estimates and not realised or forecast losses.

Resilience is assessed separately for each scenario type. Under orderly transition scenarios, the portfolio shows resilience within the context of the modelled assumptions: transition-risk losses remain within Pillar 2 capital buffer thresholds, and mechanisms such as green loan growth and client engagement on transition plans are expected to reduce high-carbon sector concentration over the medium term. Under disorderly scenarios, near-term resilience is assessed as acceptable, but medium-term capital consumption from modelled stranded-asset impairments is material; sector exposure limits and portfolio decarbonisation glide-path monitoring are key mechanisms, and additional capital buffers may be required after 2030 under the most adverse assumptions. Under hot house scenarios, physical-risk losses become the dominant challenge by 2050, with collateral revaluation risk in flood-exposed mortgage books and increased default risk in climate-sensitive sectors, including agricultural borrowers exposed to chronic heat stress, identified as primary channels; tools such as flood-zone overlays and energy-performance-certificate-based collateral monitoring are used to manage these risks.

Adaptation capacity is considered in terms of financial resources, portfolio flexibility and investment in risk-management capabilities. Climate-related capital expenditure of EUR 476.95 million and operating expenditure of EUR 219.32 million indicate resources allocated to climate-related initiatives. Portfolio-flexibility mechanisms include sector exposure limits, monitoring of high-carbon and fossil-fuel exposures, growth in green loans (10.71% of the loan book), and client engagement on transition plans and covenants. These mechanisms are intended to support the Bank's ability to adjust its portfolio over time, although the source data does not provide enough detail to assess full operational adaptation capacity.

Strategy limitations and evidence boundaries

This Strategy section is based on the Strategy source data for Eurolux Universal Bank AG for the year ended 31 December 2024. The available evidence describes climate-related risks, opportunities, portfolio metrics and value-chain exposures, but does not include a separate, detailed business-model impact assessment. Accordingly, the effects on the business model are presented qualitatively, focusing on lending, portfolio composition and value-chain nodes.

The source data does not provide quantified or documented trade-off analysis for strategic decisions, such as explicit comparisons between different sectoral growth options or between climate objectives and other business priorities. Target information is available in summary form only, covering target type, scope, status, target year, framework and reported progress; baseline values, milestones, validation bodies, gross or net status and planned use of carbon credits are not described. With respect to the transition plan, the available documentation identifies governance decisions and high-level net-zero and interim targets but does not specify the key assumptions or dependencies underlying the plan, such as policy trajectories, customer behaviour or specific financing requirements.

Scenario financial outputs, including transition and physical-risk losses, stranded-asset estimates and revenue at risk, are modelled estimates based on NGFS v4 scenarios and internal methodologies and should not be interpreted as realised or forecast losses. Similarly, the estimated revenue impacts associated with climate-related opportunities are model-based estimates with stated confidence levels and should not be interpreted as assured future revenue. Resilience observations are presented on a scenario-specific basis for orderly, disorderly and hot house pathways and do not constitute a general statement of overall bank-wide resilience under all possible future conditions.

The Strategy section does not describe detailed planned sources of funding to implement the climate strategy beyond the indication of climate-related capital and operating expenditure, as such information is not included in the source data.

Risk management

Sustainability-related risk management overview

Eurolux Universal Bank AG identifies, assesses and monitors climate-related risks primarily through a dedicated climate risk register. For the financial year 2024, the register records eight climate-related risks, comprising three physical risks and five transition risks. These risks are classified into the following categories: acute physical, chronic physical, transition market, transition policy, transition reputational and transition technology. Each risk is assigned a rating (high or medium), a time horizon (short term: 0-2 years; medium term: 2-5 years; long term: more than 5 years), an estimated financial impact and a defined monitoring frequency.

The climate risk register serves as the central source of evidence for the Bank's climate risk management processes. It provides structured information on:

- risk identification and categorisation across physical and transition dimensions;
- assessment of potential financial impact in million euro terms;
- prioritisation through risk ratings and time horizons;
- monitoring through specified frequencies (quarterly or semi-annual); and
- management responses through recorded mitigation actions.

Six of the eight climate-related risks are flagged as integrated into the Bank's enterprise risk management, representing 75% of the registered climate risks. This integration flag indicates that these specific climate risks are considered within broader risk management processes, although detailed enterprise-wide policy documentation is not available in the source data.

Scenario analysis is used as a forward-looking input for selected risks. Five of the eight risks are linked to climate scenarios, and these links reference four distinct scenario identifiers. The underlying scenario set comprises 18 climate-related scenarios based on the NGFS v4 framework, covering orderly, disorderly and hot-house world pathways, with key horizon years of 2025, 2030 and 2050. Selected risks are linked to scenario references such as "Below 2°C", "Current Policies", "Delayed Transition", "Divergent Net Zero", "Nationally Determined Contributions" and "Net Zero 2050", which are used to inform the assessment of potential future conditions rather than to represent realised losses.

The climate risk register also records whether risks have changed since the prior period. Four of the eight risks are marked as changed, indicating updates in risk assessment or context during 2024. This change flag provides an indication of how the Bank's climate risk profile is evolving over time and supports management focus on emerging or intensifying risks.

Climate-related key performance indicators, including total financed emissions (35,973,167.69 tCO2e), carbon intensity (1,154.81 tCO2e per million euro), high-carbon sector exposure (35.5%) and fossil fuel exposure (22.15%), are monitored alongside the risk register. These indicators provide contextual information for transition and reputational risks, particularly those related to financed emissions scrutiny and exposure to high-carbon sectors, but they are not evidenced as formal risk appetite thresholds.

Upstream sustainability risks

For Eurolux Universal Bank AG, upstream sustainability-related risks would typically relate to funding sources, key suppliers, external service providers and access to capital markets. However, the source data for 2024 is centred on the climate risk register, which focuses on physical and transition risks arising primarily from the Bank's lending and credit-related activities, as well as associated reputational and market exposures.

Within this evidence set, there are no distinct climate risk entries that explicitly address upstream counterparties such as suppliers, vendors or funding providers, nor are there separate processes documented for identifying and managing upstream climate-related risks. The recorded risks instead reflect exposures in the Bank's asset portfolios, including mortgage lending, auto lending, industrial and agricultural lending, and fossil fuel sector exposures.

As a result, upstream sustainability-related risk management for climate factors cannot be described as a separate process based on the available documentation. Any upstream implications of climate risk-for example, potential impacts on the Bank's own funding costs or service providers-are not separately identified in the climate risk register and therefore are not presented as distinct upstream risk processes in this report.

Risk management across internal operations

Internal operational climate risks for a commercial bank may include the exposure of own facilities and operations to physical climate hazards, as well as operational dependencies on data centres, branches and critical infrastructure. In the 2024 climate risk register for Eurolux Universal Bank AG, the physical risks recorded relate to the Bank's lending portfolios rather than to its own premises or operational assets.

The three physical risks captured in the register are:

- mortgage book flood exposure (acute physical risk, high rating, long-term horizon);
- wildfire exposure in a southern portfolio (acute physical risk, medium rating, short-term horizon); and
- heat stress affecting agricultural borrowers (chronic physical risk, medium rating, short-term horizon).

These risks are framed in terms of impacts on borrowers, collateral and credit portfolios, rather than on the Bank's internal operations. Monitoring frequencies for these risks are quarterly or semi-annual, and mitigation actions are focused on credit and collateral management, such as "Collateral revaluation and flood mapping overlay" and "Climate scenario stress testing integrated into ICAAP".

The source data does not provide separate entries for climate-related risks to the Bank's own buildings, branches, data centres or internal processes, nor does it describe specific operational controls or procedures for managing such risks. Accordingly, internal operational climate risk management is reflected indirectly through the treatment of physical risks in the lending book, rather than through a distinct internal operations risk framework in the climate risk register.

Downstream sustainability risks

Downstream sustainability-related risks for Eurolux Universal Bank AG arise predominantly through its lending, financing and credit activities, including exposures to high-carbon sectors, fossil fuel-related assets, and counterparties sensitive to climate policy, technology and physical impacts. The 2024 climate risk register provides detailed evidence of how these downstream climate risks are identified, assessed, monitored and managed.

Transition risks are a central focus and include:

- Transition risk - EV shift in auto lending (transition technology, high rating, short-term horizon, estimated financial impact of EUR 165.2 million, monitored quarterly, integrated into enterprise risk management, linked to scenario SCN0011, with mitigation action "Climate scenario stress testing integrated into ICAAP");
- Stranded assets - fossil fuel sector exposure (transition market, high rating, long-term horizon, estimated financial impact of EUR 136.5 million, monitored quarterly, integrated into enterprise risk management, with mitigation action "Collateral revaluation and flood mapping overlay");
- Transition risk - carbon pricing on industrial loans (transition policy, high rating, medium-term horizon, estimated financial impact of EUR 67.5 million, monitored quarterly, integrated into enterprise risk management, with mitigation action "Sector exposure limits and enhanced due diligence");
- Transition risk - building energy performance regulation (transition policy, medium rating, long-term horizon, estimated financial impact of EUR 21.6 million, monitored semi-annually, not flagged as integrated into enterprise risk management, with mitigation action "Green retrofit financing incentives"); and
- Reputational risk - financed emissions scrutiny (transition reputational, medium rating, medium-term horizon, estimated financial impact of EUR 65.5 million, monitored semi-annually, integrated into enterprise risk management, linked to scenario SCN0013, with mitigation action "Portfolio decarbonisation glide-path monitoring").

These risks illustrate how climate-related factors are incorporated into the Bank's assessment of downstream credit and reputational exposures. For example, the risk related to the shift to electric vehicles in auto lending reflects technology-driven changes in borrower business models and asset values, while the carbon pricing and building energy performance risks reflect policy-driven impacts on industrial and real estate borrowers. The stranded assets risk highlights potential long-term value erosion in fossil fuel sector exposures, and the financed emissions scrutiny risk captures reputational and stakeholder pressures associated with the Bank's emissions profile.

Physical risks in downstream portfolios are also recorded:

- Physical risk - mortgage book flood exposure (acute physical, high rating, long-term horizon, estimated financial impact of EUR 24.8 million, monitored quarterly, integrated into enterprise risk management, linked to scenario SCN0004, with mitigation action "Engagement and transition-plan covenants with borrowers");
- Physical risk - wildfire exposure in southern portfolio (acute physical, medium rating, short-term horizon, estimated financial impact of EUR 22.7 million, monitored semi-annually, not flagged as integrated into enterprise risk management, linked to scenario SCN0002, with mitigation action "Collateral revaluation and flood mapping overlay"); and
- Physical risk - heat stress on agricultural borrowers (chronic physical, medium rating, short-term horizon, estimated financial impact of EUR 20.6 million, monitored semi-annually, integrated into enterprise risk management, linked to scenario SCN0011, with mitigation action "Climate scenario stress testing integrated into ICAAP").

These risks demonstrate how climate-related physical hazards are considered in relation to collateral values, borrower cash flows and sectoral vulnerabilities in the Bank's lending portfolios. Monitoring frequencies and scenario links provide a structured approach to tracking how these risks may evolve over time.

The Bank's reported climate-related KPIs-financed emissions, carbon intensity, high-carbon sector exposure and fossil fuel exposure-provide additional context for these downstream risks. In particular, the high-carbon sector exposure of 35.5% and fossil fuel exposure of 22.15% are relevant to the stranded assets and financed emissions scrutiny risks, while the overall financed emissions and carbon intensity metrics inform the understanding of transition and reputational risk drivers. These indicators are used as contextual information rather than as documented risk limits.

Climate risk management

The climate risk register is the primary mechanism through which Eurolux Universal Bank AG identifies, assesses, prioritises, monitors and manages climate-related risks. For 2024, the register covers eight risks, split into three physical and five transition risks, and provides structured data across several dimensions.

Identification and categorisation:

- Physical risks are classified as acute (such as flood and wildfire exposure) or chronic (such as heat stress on agricultural borrowers).
- Transition risks are categorised as market (stranded fossil fuel assets), policy (carbon pricing on industrial loans and building energy performance regulation), technology (EV shift in auto lending) and reputational (financed emissions scrutiny).

Assessment and prioritisation:

- Each risk is assigned a rating of high or medium, reflecting its relative significance.
- Time horizons are specified as short term (0-2 years), medium term (2-5 years) or long term (more than 5 years), indicating when the financial impacts are expected to materialise.
- The register records estimated financial impacts in million euro for each risk, with the largest recorded impact being EUR 165.2 million for the EV shift in auto lending, followed by EUR 136.5 million for stranded fossil fuel sector exposure.

- Four of the eight risks are marked as changed since the prior period, signalling updates in risk assessment or underlying assumptions.

Monitoring:

- Monitoring frequencies are defined as quarterly or semi-annual. High-rated risks with larger financial impacts, such as the EV shift in auto lending, stranded fossil fuel exposure and carbon pricing on industrial loans, are monitored quarterly.
- Medium-rated risks, including wildfire exposure, building energy performance regulation and heat stress on agricultural borrowers, are generally monitored semi-annually.
- The financed emissions scrutiny risk, although medium-rated, is monitored semi-annually given its reputational nature and linkage to external stakeholder expectations.

Scenario analysis:

- Five of the eight risks are linked to climate-related scenario analysis, referencing four distinct scenario identifiers (SCN0002, SCN0004, SCN0011 and SCN0013). Several risks share the same scenario reference, so the number of linked risks exceeds the number of distinct scenarios.
- The scenarios are drawn from an NGFS v4-based set of 18 scenarios, including orderly, disorderly and hot-house world pathways, with key horizon years of 2025, 2030 and 2050. Scenario names used include "Below 2°C", "Current Policies", "Delayed Transition", "Divergent Net Zero", "Nationally Determined Contributions" and "Net Zero 2050".
- Scenario analysis is used as a forward-looking input to assess how different climate pathways could affect selected risks, such as mortgage book flood exposure, wildfire exposure, EV shift in auto lending, heat stress on agricultural borrowers and financed emissions scrutiny. Scenario outputs are modelled estimates and are not treated as evidence of actual losses.

Mitigation actions: The climate risk register records specific mitigation actions for each risk, which are applied at the risk level rather than as generic controls. Key examples include:

- "Climate scenario stress testing integrated into ICAAP" for the EV shift in auto lending risk and the heat stress on agricultural borrowers risk, indicating that these risks are considered in climate scenario stress testing within the internal capital adequacy assessment process;
- "Collateral revaluation and flood mapping overlay" for the stranded fossil fuel sector exposure risk and the wildfire exposure risk, reflecting a focus on reassessing collateral values and incorporating flood mapping in relevant portfolios;
- "Sector exposure limits and enhanced due diligence" for the carbon pricing on industrial loans risk, indicating targeted management of sectoral exposures and additional scrutiny in credit assessment;
- "Engagement and transition-plan covenants with borrowers" for the mortgage book flood exposure risk, reflecting the use of borrower engagement and specific covenants as part of the risk response;
- "Green retrofit financing incentives" for the building energy performance regulation risk, linking risk management to financing products that support energy performance improvements; and
- "Portfolio decarbonisation glide-path monitoring" for the financed emissions scrutiny risk, aligning risk management with the monitoring of a decarbonisation trajectory for the portfolio.

Integration into overall risk management:

- Six of the eight climate-related risks are flagged as integrated into the Bank's enterprise risk management. These include the EV shift in auto lending, stranded fossil fuel sector exposure, carbon pricing on industrial loans, financed emissions scrutiny, mortgage book flood exposure and heat stress on agricultural borrowers.
- Two risks-wildfire exposure in the southern portfolio and building energy performance regulation-are not flagged as integrated.

- The integration flag indicates that these specific risks are considered within broader risk management processes, but the source data does not provide detailed descriptions of the underlying policies, risk appetite statements or escalation mechanisms.

Overall, the climate risk register provides a structured, risk-level view of how Eurolux Universal Bank AG identifies, assesses, prioritises, monitors and manages climate-related risks, with selected risks linked to scenario analysis and mitigation actions recorded in the risk register.

Risk management limitations and evidence boundaries

The disclosures in this section are based on the climate risk register, scenario analysis information and climate-related KPIs available for Eurolux Universal Bank AG for the financial year 2024. While this source data provides detailed information on eight climate-related risks, including categories, ratings, time horizons, financial impacts, monitoring frequencies, scenario links, mitigation actions and an enterprise risk management integration flag, there are important limitations.

First, the available documentation does not include formal climate risk appetite thresholds, detailed risk policy documents, or explicit escalation thresholds and triggers for climate-related risks. As a result, this report does not describe quantitative risk appetite limits, formal escalation routes or detailed policy frameworks for climate risk management.

Second, detailed descriptions of formal controls and procedures, including process maps, control testing or lines-of-defence arrangements specific to climate risk, are not available. Mitigation actions are therefore presented as recorded at the individual risk level in the risk register, without extrapolation to broader control frameworks.

Third, the climate risk register is the primary evidence source for risk management processes and is focused on downstream credit and portfolio risks. There is limited evidence on distinct upstream climate risk processes related to suppliers, funding providers or other value chain partners, and no separate internal operations climate risk framework is documented beyond the indirect implications of physical risks on lending portfolios.

Fourth, while selected risks are linked to climate-related scenario analysis, the underlying scenario outputs are modelled estimates and are used as forward-looking assessment inputs. The disclosures do not interpret these outputs as realised financial impacts, and the extent to which scenario analysis influences capital planning or strategic decisions beyond the specific mitigation actions recorded (such as "Climate scenario stress testing integrated into ICAAP") is not evidenced.

Finally, the climate-related KPIs presented-financed emissions, carbon intensity, high-carbon sector exposure and fossil fuel exposure-are used as contextual information for transition and reputational risks. The source data does not indicate that these metrics are embedded as formal risk limits or that they are subject to independent assurance for the purposes of this section.

These evidence boundaries should be considered when interpreting the Bank's climate-related risk management disclosures for 2024, particularly in relation to the completeness of value chain coverage, the formality of governance and control frameworks, and the degree of integration with broader enterprise risk management processes.

Metrics and targets

Overview

Eurolux Universal Bank AG uses a suite of quantitative climate-related metrics and targets to monitor material sustainability-related risks and opportunities across its lending portfolio and operations. For the year ended 31 December 2024, the metrics architecture focuses on: portfolio financed emissions and carbon intensity; exposure to high-carbon and fossil-fuel sectors; green lending volumes; climate-related capital and operating expenditure; and medium- and long-term greenhouse gas (GHG) reduction targets. Operational Scope 1, Scope 2 and Scope 3 emissions are not available as detailed records for 2024 and are therefore not reported in this section.

The metrics and targets disclosed below are used to inform credit risk management, portfolio steering and strategic planning, including the management of transition risks associated with high-emitting sectors and the scaling up of green finance. All current-year quantitative metrics presented in this section are based on internal source data for 2024 and are not independently verified.

Sustainability-related metrics and targets

For 2024, Eurolux Universal Bank AG has identified the following key sustainability-related metrics as most relevant for assessing and managing climate-related risks and opportunities in its banking activities:

- Total assets: EUR 850,000 million.
- Total loans: EUR 31,150.64 million.

High-carbon and fossil-fuel exposure metrics:

- Exposure to high-carbon sectors amounted to EUR 11,059.49 million, representing 35.5% of the total loan portfolio.
- Exposure to fossil-fuel activities amounted to EUR 6,899.59 million, representing 22.15% of the total loan portfolio.

Green finance and portfolio transition metrics:

- Green loans amounted to EUR 3,335.75 million, representing 10.71% of the total loan portfolio.
- These green lending activities are used internally as an indicator of the bank's contribution to financing the transition to a lower-carbon economy.

Climate-related investment and expenditure metrics:

- Climate-related capital expenditure in 2024 was EUR 476.95 million.
- Climate-related operating expenditure in 2024 was EUR 219.32 million.

These metrics are used by management to monitor the balance between exposures to high-emitting sectors and the growth of green lending, as well as to track the allocation of financial resources to climate-related initiatives. The metrics are also used to assess progress against the climate targets described in the "Climate targets and progress" subsection, noting that the targets themselves are based on specific GHG and intensity parameters recorded in the target records.

Greenhouse gas emissions

Detailed 2024 operational Scope 1, Scope 2 and Scope 3 emissions records are unavailable. As a result, Eurolux Universal Bank AG does not report operational GHG emissions for the year ended 31 December 2024 in this section.

Managing exposure towards financed emissions

Financed emissions are a central metric for Eurolux Universal Bank AG in assessing climate-related risks in its lending portfolio. For the year ended 31 December 2024, source data for the loan book indicate:

- Total financed emissions from loans of 35,973,167.69 tCO2e.
- A portfolio carbon intensity of 1,154.81 tCO2e per EUR million of lending, calculated using total loans of EUR 31,150.64 million.

These metrics are used internally to monitor the emissions profile of the loan portfolio and to inform strategic decisions regarding sectoral exposures, client engagement and the development of transition finance solutions. They also provide the primary quantitative basis for tracking progress against the bank's financed emissions intensity reduction target described below.

The financed emissions and carbon intensity figures disclosed for 2024 are based on internal calculations and are not independently verified. Detailed calculation methodology, including data sources, estimation techniques and any sectoral or asset-class exclusions, is not described in the available documentation and is therefore not presented in this report.

Climate-related financial metrics and resource allocation

Eurolux Universal Bank AG uses climate-related financial metrics to assess how climate risks and opportunities are reflected in its financial position and resource allocation. For 2024, the following indicators are used:

- Climate-related capital expenditure: EUR 476.95 million, representing investments in activities and projects that support the bank's climate strategy, including the development of green products, digital capabilities for climate risk assessment and internal infrastructure improvements.
- Climate-related operating expenditure: EUR 219.32 million, reflecting ongoing costs associated with climate risk management, data and analytics, staff training and other operational initiatives.

In addition, portfolio exposure metrics are used to assess the financial implications of transition risk and the reallocation of capital:

- High-carbon sector exposure: EUR 11,059.49 million (35.5% of total loans), which is monitored as an indicator of potential transition risk concentration.
- Fossil-fuel exposure: EUR 6,899.59 million (22.15% of total loans), which is used to assess exposure to sectors that may be particularly affected by climate policy, technological change and market shifts.
- Green loans: EUR 3,335.75 million (10.71% of total loans), which is used as a measure of the bank's financing of climate-related opportunities and transition activities.

These financial metrics are integrated into internal portfolio monitoring and planning processes to support decisions on sectoral limits, product development and capital allocation over the short, medium and long term. All figures are derived from internal financial systems for 2024 and are not independently verified.

Climate targets and progress

Eurolux Universal Bank AG has established climate-related targets that are recorded in internal target records and are used to guide the management of climate-related risks and opportunities. The targets cover operational emissions, financed emissions intensity and a long-term net-zero objective. The parameters described below, including baselines, reduction percentages, interim milestones and progress indicators, are target-record parameters and do not represent current-year operational emissions. The progress percentages are internal indicators and are not reconciled to reported 2024 operational emissions (which are unavailable) or to any independently assured portfolio emissions.

For transparency, the principal targets are summarised as follows:

1. Operational Scope 1 and 2 absolute emissions reduction target

- Target type and scope: An absolute GHG reduction target covering Scope 1 and Scope 2 emissions across the whole entity.
- Baseline and target year: The target record specifies a baseline year of 2020 with a baseline level of 137,849 tCO2e, and a target year of 2030.
- Reduction ambition: The target record specifies a 42% reduction in Scope 1 and 2 emissions by 2030 relative to the 2020 baseline, on a gross basis, covering all Kyoto greenhouse gases.
- Interim milestones: The target record includes interim milestones of 120,480 tCO2e for 2025 and 97,321.4 tCO2e for 2028, expressed as target-record parameters for expected emissions levels in those years.
- Framework and recorded validation information: The target record identifies a 1.5°C pathway under the Science Based Targets initiative as the framework used for setting this target. Internal target records include a field indicating that external validation is recorded and list the Science Based Targets initiative as the associated organisation; no independent verification evidence is available in the documentation for this section, and this reference does not constitute assurance of the target or its achievability.
- Progress indicator: The target record reports 40.0% progress towards the 2030 reduction objective as at 2024, based on an absolute tCO2e progress metric. This progress indicator is derived from internal data and is not

independently verified.

2. Financed emissions intensity reduction target (Scope 3, category 15 - financed emissions)

- Target type and scope: An emissions intensity reduction target for financed emissions, covering Scope 3 category 15 across the whole entity.
- Baseline and target year: The target record specifies a baseline year of 2022 with a baseline intensity of 20.0 tCO2e per EUR million of lending, and a target year of 2030.
- Reduction ambition: The target record specifies a 30% reduction in financed emissions intensity by 2030 relative to the 2022 baseline, expressed in tCO2e per EUR million of lending, covering all Kyoto greenhouse gases.
- Interim milestones: The target record includes interim milestones of 18.2 tCO2e per EUR million of lending for 2025 and 15.8 tCO2e per EUR million of lending for 2028, as target-record parameters.
- Framework and recorded validation information: The target record identifies the Net-Zero Banking Alliance as the framework used for setting this target. Internal target records include a field indicating that an external organisation is recorded in connection with this target and name the United Nations Environment Programme Finance Initiative in that context; no independent verification evidence is available in the documentation for this section, and references to the Net-Zero Banking Alliance or the United Nations Environment Programme Finance Initiative do not constitute assurance of target alignment or achievability.
- Progress indicator: The target record reports 25.0% progress towards the 2030 intensity reduction objective as at 2024, based on an intensity metric expressed in tCO2e per EUR million. This progress indicator is based on internal calculations and is not independently verified.

3. Long-term net-zero GHG emissions target

- Target type and scope: A net-zero GHG emissions target covering all scopes across the whole entity.
- Baseline and target year: The target record specifies a baseline year of 2020 with a baseline level of 120,000 tCO2e, and a target year of 2050.
- Reduction ambition: The target record specifies a 100% reduction in GHG emissions by 2050 relative to the 2020 baseline, covering all Kyoto greenhouse gases. The target is recorded on a net basis and is associated in the target record with the gross Scope 1 and 2 reduction target described above.
- Framework and recorded validation information: The target record identifies the Net-Zero Banking Alliance as the framework used for setting this target. Internal target records include a field indicating that an external organisation is recorded in connection with this target and name the United Nations Environment Programme Finance Initiative in that context; no independent verification evidence is available in the documentation for this section, and these references do not constitute assurance of target alignment or the likelihood of future target achievement.
- Use of carbon credits: The target record indicates that the bank plans to use carbon credits corresponding to 8.2% of the reduction, with the planned credits described as technology-based removals in the target record. This information is recorded as a target parameter and does not represent a current commitment to specific projects.
- Progress indicator: The target record reports 13.3% progress towards the net-zero objective as at 2024, based on a percentage reduction versus baseline. This indicator is based on internal data and is not independently verified.

Across all three targets, the target records indicate that they apply to the whole entity, cover all Kyoto greenhouse gases and are subject to periodic review, with review frequencies recorded as triennial, annual and biennial respectively. The target records also include internal labels relating to alignment with global temperature goals; these labels are recorded as target attributes and are not presented as evidence of external validation of alignment.

The references to external organisations in this subsection relate solely to fields recorded in the target records and do not constitute verification of current-year emissions, progress indicators, portfolio alignment or the likelihood of future target achievement.

Metrics and targets limitations and evidence boundaries

The climate-related metrics and targets disclosed in this section are subject to the following limitations and evidence boundaries:

- Operational GHG emissions: Detailed 2024 operational Scope 1, Scope 2 and Scope 3 emissions records are unavailable in the available evidence. As a result, no operational emissions metrics are reported for the year ended 31 December 2024, and the operational emissions targets described above are based on target-record parameters rather than reported 2024 operational emissions.
- Financed emissions methodology: While total financed emissions and portfolio carbon intensity for 2024 are disclosed, detailed calculation methodology, data quality assessments, data source descriptions, asset-class or sectoral breakdowns and key assumptions are not described in the available documentation and are therefore not presented. The financed emissions and intensity figures are based on internal calculations and are not independently verified.
- Portfolio exposure metrics: High-carbon sector exposure, fossil-fuel exposure and green loan metrics are derived from internal classification and reporting systems. The criteria used to define "high-carbon sectors", "fossil-fuel exposure" and "green loans" are not detailed in the available documentation. The figures are not independently verified.
- Climate-related financial metrics: Climate-related capital and operating expenditure figures are based on internal allocations and tagging of expenditures. The underlying allocation methodologies and any changes over time are not described in the available documentation. These figures are not independently verified.
- Target records and progress indicators: All baseline values, reduction percentages, interim milestones, planned use of carbon credits, progress percentages, framework references and references to external organisations are taken from internal target records. These target-record parameters do not represent current-year operational emissions, do not provide verification of portfolio alignment with any specific climate pathway and do not guarantee future achievement of the targets. Progress indicators and status labels are based on internal assessments and are not independently verified.
- Governance and remuneration linkage: The available documentation for this section does not describe the specific bodies or individuals responsible for overseeing target setting, nor whether and how performance against climate-related metrics is linked to remuneration. As a result, this section does not make statements about governance oversight structures or remuneration linkages related to the disclosed metrics and targets.

Eurolux Universal Bank AG expects that methodologies, data coverage and disclosure practices for climate-related metrics and targets will continue to evolve in future reporting periods as regulatory expectations, market practices and internal capabilities develop.